

GUIDE 03 · GETTING STARTED

Getting Started.

A practical first-steps guide to adding private markets to a portfolio — from setting your goals to making a confident first commitment.

An educational guide for investors taking their first step into private markets.

HeadOverSea

01 Before you begin

The best first move in private markets isn't choosing a fund — it's getting clear on what you want, how long you can wait, and how much you can set aside.

Private investments ask for patience and a portion of capital you won't touch for years. Clarity on these points up front makes every later decision — how much, which strategy, which manager — far simpler.

START HERE

Decide your goal, your time horizon and your comfort with locking up capital before you look at a single product.

THREE QUESTIONS TO ANSWER FIRST

01

What's the goal?

Growth, income, or diversification?
Your aim points you toward the right strategy.

02

What can you lock up?

Only commit capital you won't need in the near term — liquidity is limited.

03

How long can you wait?

Most strategies reward a horizon measured in years, not months.

02 How much to allocate

There is no universal number. A sensible approach is to start modestly, keep ample liquidity elsewhere, and build the allocation over time.

PRINCIPLE ONE

Start modest

Begin with a sleeve you're fully comfortable locking up. You can always add later; you can't easily pull it back.

PRINCIPLE TWO

Build gradually

Grow the allocation across several years and funds, rather than committing everything at once.

A SIMPLE WAY TO THINK ABOUT SIZING

A starting sleeve

A modest slice of the portfolio you're happy to leave untouched.

Room to grow

Leave capacity to add over time as you gain confidence and understanding.

Liquidity aside

Keep enough liquid assets to cover your needs without touching private holdings.

03 Choosing your first exposure

Different structures offer different balances of accessibility and liquidity. For a first step, many investors favour simpler, more flexible vehicles.

STRUCTURE	LIQUIDITY	OFTEN BEST FOR
Evergreen fund	PERIODIC, LIMITED	A first step — lower minimums and a simpler, open-ended structure.
Closed-end fund	LOCKED FOR THE TERM	Investors ready for the traditional, fixed-life private markets experience.
Fund-of-funds	LOCKED, DIVERSIFIED	Those who want instant diversification across many managers in one commitment.

A GENTLE ON-RAMP

Evergreen and fund-of-funds structures can ease the first step by lowering minimums and spreading risk — at the cost of an extra layer of fees.

04 Steps to your first commitment

With your goals set, the path to a first commitment is straightforward and methodical.

Define objectives

Write down your goal, horizon and the amount you're prepared to lock up.

Check eligibility

Confirm you meet the investor requirements for the funds you're considering.

Select a strategy

Match a strategy — growth, income or diversification — to your objective.

Commit & fund

Make the commitment and be ready for capital to be called in stages.

Monitor

Track reports, distributions and how the program fits your wider portfolio.

QUESTIONS TO ASK ANY MANAGER

○ **What's the strategy?**

Can they explain, plainly, how they aim to make money?

○ **What are the terms?**

Fees, lock-ups, and how and when you receive cash.

○ **What's the track record?**

How have prior funds performed across full cycles?

○ **Where's the alignment?**

How much of their own capital is invested alongside yours?

05 Key terms, in plain language

Accredited / eligible investor

An investor who meets the criteria to access certain private funds.

Minimum commitment

The smallest amount a fund will accept from an investor.

Evergreen fund

An open-ended fund that accepts new capital and offers periodic redemptions.

Closed-end fund

A fund with a fixed life that returns capital as assets are sold.

Fund-of-funds

A fund that invests in many other funds for instant diversification.

Capital call

A request for part of your committed capital as deals are made.

Lock-up

The period during which your capital cannot be withdrawn.

Vintage year

The year a fund begins investing — useful for comparing performance.

IMPORTANT INFORMATION

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Private markets investments involve significant risks, including the potential loss of capital, limited liquidity, long holding periods, the use of leverage, and reliance on the manager's execution. Past performance does not predict or guarantee future results, and there can be no assurance that any strategy will achieve its objectives. Investors should consider their own circumstances and consult professional advisers before investing.



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